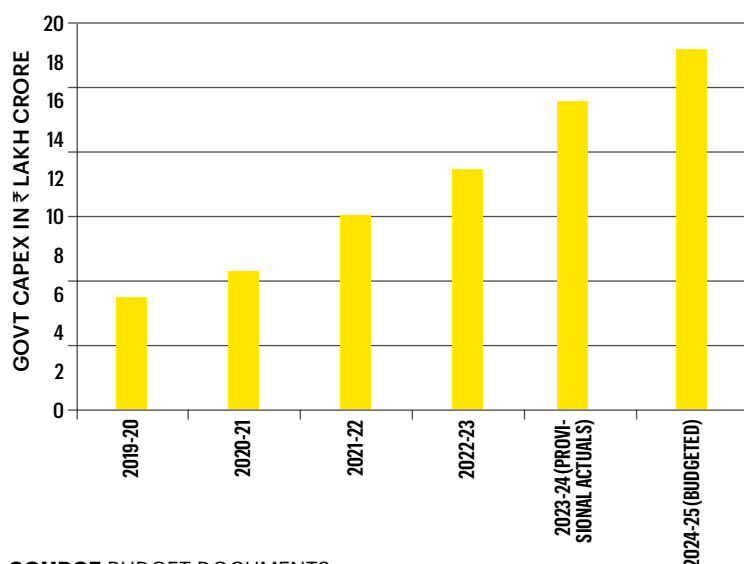


GOVERNMENT CAPEX

• The Centre's capital expenditure has been the dominant growth driver in recent years • Budget 2025-26 is likely to keep the pedal on government capex



SOURCE BUDGET DOCUMENTS

for capital expenditure in FY26 may not increase very significantly from the record ₹11.1 lakh crore allocated this fiscal, but the quality of expenditure will be a key monitorable. According to data from the government's Controller General of Accounts (CGA), the Centre's capex was ₹5.13 lakh between April and November 2024 and experts believe that it will be an uphill task to meet the full fiscal target.

Sabnavis notes the Budget is likely to continue the focus on capital expenditure, but it may announce some special measures for sectors such as irrigation and climate risks through higher capex outlays for this. "The focus on railways and roads in terms of capex will also continue," he says.

State governments, which are allocated ₹1.5 lakh crore of interest-free capex loans, are likely to be prodded to invest more in infrastructure creation, and the limit may be enhanced. The states have requested the Centre to enhance the outlay under the Scheme for Special Assistance to States for Capital Investment as it leads to construction of crucial capital assets in the states; the issue was also discussed at the FM's pre-Budget meeting with states in Jaisalmer in late December.

D.K. Srivastava, Chief Policy Advisor at consultancy major EY India, in a note pointed out that in the medium term, India's real GDP growth could be 6.5% per year provided the Government of India

(GoI) accelerates its capital expenditure growth in the remaining part of FY25 and comes up with a medium-term investment pipeline with participation from the GoI and state governments, their respective public sector entities, and the private corporate sector.

Srivastava has called for a recast of the earlier 2019 National Infrastructure Pipeline (NIP) for a period extending up to 2030 with revised targets for the priority sectors, including roads, AMRUT, smart cities, railways, power, renewable energy. "Investment targets for all the three major investors, namely GoI and state governments and their respective public sector undertakings, and private corporate sector should be recast after evaluating their performance in financing the earlier NIP," he said.

Together, the GoI and the state governments should ensure a minimum growth of capital expenditure allocated towards infrastructure of 6% of GDP each year over a five-year period. This implies driving their revenue deficits to near zero, Srivastava said.

FISCAL MANAGEMENT

The Centre's fiscal position seems to be the silver lining in the current stormy skies with the fiscal deficit seen to be a tad better than the estimated 4.9% of the GDP in FY25. The deficit target for FY26 is seen to be below 4.5% of the GDP in line with the fiscal consolidation road map while ensuring that there remains more than sufficient room for all expenditure requirements.

Sabnavis expects the fiscal deficit for FY26 to be about 4.3-4.4% with nominal GDP growth at 11%. "In FY25, the fiscal deficit may do slightly better than the targeted 4.9% given the huge dividend